

ESCAPING THE **BUILD TRAP**



How Effective Product Management
Creates Real Value

MELISSA PERRI

To stay competitive in today's market, organizations need to adopt a culture of customer-centric practices that focus on outcomes rather than outputs. Companies that live and die by outputs often fall into the build trap, cranking out features to meet their schedule rather than the customer's needs.

In this book, Melissa Perri explains how laying the foundation for great product management can help companies solve real customer problems while achieving business goals. By understanding how to communicate and collaborate within a company structure, you can create a product culture that benefits both the business and the customer. You'll learn product management principles that can be applied to any organization, big or small.

In five parts, this book explores:

- Why organizations ship features rather than cultivate the value those features represent
- How to set up a product organization that scales
- How product strategy connects a company's vision and economic outcomes back to the product activities
- How to identify and pursue the right opportunities for producing value through an iterative product framework
- How to build a culture focused on successful outcomes over outputs

"A rare product management book that has the courage to suggest that when an entire company is product focused, the results can be astonishing."

—Dave Pinke
Practising Law Institute

Melissa Perri believes the key to creating great products is growing great product leaders. As the CEO of Produx Labs, she helps companies effectively scale their product organizations. Melissa also founded the online school Product Institute, and started a program to train the next generation of Chief Product Officers. She is an internationally recognized, sought-after keynote speaker. Melissa graduated from Cornell University with a B.S. in Operations Research and Information Engineering.

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Praise for *Escaping the Build Trap*

“*Escaping the Build Trap* is, finally, the book that not only helps define product management, but puts it into organizational perspective. Melissa Perri does a masterful job of weaving together experience, examples, and expertise to paint a clear picture of the definition of product management (sorely missing from so many other books), the value it adds to a team and organization, and the commitment it takes to be good at it. This is a book for product managers but it’s also a book for leaders. It’s an indictment of the ‘project’ mindset and clear, practical manual for the product-led company. It’s a must read.”

—Jeff Gothelf, author of *Lean UX* and *Sense & Respond*

“A rare product management book that has the courage to suggest that when an entire company is product focused, the results can be astonishing.”

—Dave Pinke, Practicing Law Institute

“Packed with actionable tools, techniques and real world case studies, *Escaping the Build Trap* offers executives, entrepreneurs and business leaders powerful insight as to how to create a product-centric organization to succeed in a world of accelerating innovation.”

—Barry O’Reilly, founder of ExecCamp and author of *Unlearn* and *Lean Enterprise*

“Melissa’s book is part of the new canon for product management. Too often product management is seen as a bit of luck combined with a lot of ego. Melissa shows us its practice and discipline.”

—Jeff Patton, product management coach and author of *User Story Mapping*

“*Escaping the Build Trap* speaks directly to the single biggest mistake organizations make around product, and provides an actionable path forward. Melissa Perri answers some of the most pressing tactical questions around product management with a singular strategic focus on delivering real value for real people. This book should be required reading for any organization seeking to build products that meet customer needs and achieve business goals.”

—Matt LeMay, author of *Agile for Everybody* and
Product Management in Practice

“Feature factories, or those groups who simply *keep busy* by building everything: stop. Read *Escaping the Build Trap*, and refocus towards solving the most important problems for your users. A relatable and insightful read for product people at all levels and will certainly be a staple on product manager’s bookshelves.”

—Dave Masters, director of product at realtor.com

“There are few challenges trickier than building a Product organization that is optimized to build and deliver just the right kind of product for your customers. *Escaping the Build Trap* is a brilliant crystallization on how to do exactly that. With lots of illustrative examples and clear, straightforward advice that stems from Perri’s deep experience, this book offers practical strategies for ensuring that your organization is dedicated to creating products that customers love and value.”

—Blair Reeves, coauthor of *Building Products for the Enterprise*

“The product management role in software-powered products is fundamentally different from other domains, and there is very little good material on how to do it well. So I can’t overstate how delighted I am that Melissa Perri has written this excellent guide to product management. It deserves to become the standard text for people learning to succeed in this role, and for organizations who want to develop an effective product capability.”

—Jez Humble, author and lecturer on product management
at UC Berkeley

“Escaping the Build Trap is the missing guide that companies need to nail scaling their product organizations so they can effectively grow.”

—Shelley Perry, venture partner at Insight Venture Partners

“If you’re struggling to become a product-led organization, this needs to be on your bookshelf. From organizational culture to the product management role, Melissa has built a great guide to spotting and solving problems. I’m buying copies for my clients now.”

—Adrian Howard, product coach at Quietstars

“There are many great books about product management, strategy, and development. I tend to recommend them with a footnote, such as, Hey, this is startup focused, You’ll need this other book, This covers the UX perspective, or, This is mostly for product owners in the context of Scrum. Escaping the Build Trap is unique in that it is the complete package—no footnote needed. It’s short and sweet, with a solid grounding in theory and actionable do-this-tomorrow tools. It gets to the meat of the matter—the shift from running a reactive feature or project factory to fostering a product-led, impact-focused organization. As a bonus, it is a fun read. The fictional Marquetly story holds it all together and is all too relatable if you’ve been doing this for a while. Hats off, Melissa! This rocks.”

—John Cutler, product evangelist at Amplitude

“This is the sort of book you read and immediately want to share with everyone in your organization. It explains the importance of excellent product management in an organization, and offers practical approaches to help foster a culture of excellent product management. If you’re in an organization that’s shipping something, but you’re not sure if you’re shipping the right thing, stop right now, read the book, and share it.”

—Dave Zvenyach, consultant and former director of i8F

Escaping the Build Trap

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Melissa Perri

Escaping the Build Trap

by Melissa Perri

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Preface

The point is, you can't keep doing the same thing and expect it to keep working. We had to do something different, but the really hard question was, "What is it?" We made plenty of mistakes along the way to answering that question, but the most important thing we identified was that we needed to know more about our customers and what problems they were really trying to solve in their businesses—even if they didn't neatly fit into an existing category of ours.

—MICHAEL DELL¹

This book is for every product person. It's for the senior in college who wants to be a product manager but doesn't quite understand the full landscape of the job. It's for the first-time product manager who was thrown into the fray and is looking for guidance. It's for the product manager, just promoted to VP, who needs a guide to set up their organization so that it scales successfully. It's for the leaders of large organizations who are looking to obtain that competitive advantage.

About a decade ago, I was working as a product manager in an e-commerce company, chugging along, writing large requirement documents, shipping them to developers, and, frankly, thinking that I was the bomb. A much-needed dose of reality was thrown in my face when we began measuring the success of our products. I soon learned that my products were crap, and no one was using them.

That was my first realization that I was in what I now call, *the build trap*. I was so focused on shipping features and developing as many cool ideas (but mostly my own ideas) as I could that I didn't even think about the outcome of

¹ TOM FOSTER, "MICHAEL DELL: HOW I BECAME AN ENTREPRENEUR AGAIN," INC. MAGAZINE, JULY - AUGUST 2014.

those features. I wasn't connecting the goals of my company or the needs of my users back to my work.

I wanted to get better. I wanted to create better products. At that time, the Lean Startup movement was taking shape and I learned about experimentation. An engineer by background, this spoke to me. "You mean I can test things in my work, just like science? I can use data to inform decisions? Sign me up," I thought.

I eagerly applied all the things I learned to my job as a product manager. I started seeing traction on my features. I began working with my team better. Together we became a lean, mean experimentation machine. And it worked: our products became better.

That experience inspired me. I wanted to learn more. I wanted more chances to implement these ways of working. I became a kid in a candy shop, soaking up every process and framework that would make me a better product manager.

A few years later, I began getting invited to share my experiences at conferences. I loved being able to talk about what I learned and how it helped me. I soon realized it was helping other people, too. More and more product managers, leaders, and designers came to me for advice. Eventually, in 2014, I became a consultant.

For the past few years, I have been brought in to teach product managers this systematic way of working. "Our product managers are stuck," the executives would tell me. "They need to learn how to talk to customers and think experimentally." The product managers I worked with were eager to learn, usually transferring in from another part of the company with no prior experience. They readily adopted the techniques, so excited to have a framework. I was thrilled. Helping people, seeing them get better, I found my calling—developing the future of product management.

I started writing *Escaping the Build Trap* two years ago for those very product managers. I wanted to help them become better.

But that evolved.

I never intended to take two years to write this book. It was supposed to be a three-month process. But, as I was nearing the end of my first draft, I was also checking back in with the product managers I had been teaching. A pattern had emerged. They had slipped back into old habits.

"Why are you not talking to users? Why did you stop experimenting?" I asked.

They cited a bunch of systemic problems.

“My bonus is tied to the features we ship. I need to get those out because it’s getting close to the end of the year,” I heard at one company.

“My manager was getting upset because we were not shipping. We were doing user research, but they couldn’t see the value in it. I had to get something out the door or I’d get in trouble,” said another.

I soon realized that it was not just the product managers that were stuck in the build trap, but the entire organization. Solving the processes for the team was not enough. It was about setting up the entire company to support good product management.

So I began rewriting this book to focus on the product-led organization. Then I was invited to lead a few large-scale product transformations at multibillion-dollar companies. I advised the C-Suite on becoming product-led, again eager to implement what I had learned. Little did I know how much I would learn through those experiences, in return.

The version of *Escaping the Build Trap* you are about to read is the fourth rewrite of this book in three years. It is a culmination of what I have learned about how roles, strategy, process, and organizational dynamics affect the value that a company can deliver.

This book is a guide to getting out of the build trap with great product management. We look at what it means to become and be a product-led organization (Figure P-1), which involves four key components:

- Creating a product manager role with the right responsibilities and structure
- Enabling those product managers with a strategy that promotes good decision making
- Understanding the process of determining what product to build, through experimentation and optimization
- Supporting everyone with the right organizational policies, culture, and rewards to allow product management to thrive



Figure P-1. *The product-led organization*

Throughout this book, you will read about a company called Marquetly. Although Marquetly is a fictitious company, its stories are based in reality, either from my own experiences as a full-time product manager or those of the companies I have worked with. You will follow Marquetly on its journey of escaping the build trap to become a product-led organization. If you want to see how your company measures up to being product-led, check out the last section of this book for a little quiz.

I've worn many hats in the past 10 years: product manager, UX designer, developer, CEO, entrepreneur, consultant, advisor, teacher, and student. The most important role to me has been that last one: student. The amount I've learned and continue to learn along the way, humbles me. I'm happy to share what I know in this book, but I know there's still much to learn.

I hope this book helps you find some guidance in an area that can sometimes feel overwhelming. I encourage you to keep learning. Keep experimenting. Keep getting better. Your customers are depending on you.

If you are interested in learning more about product management, check out our online school, [Product Institute](#). We are continuously developing courses to help every product manager, from team member to executive. I am also excited to embark on a new partnership with Insight Venture Partners and Shelley Perry to develop the next generation of chief product officers at Produx Labs. The future is exciting for this field.

Thanks for reading,

Melissa Perri

CEO, Produx Labs

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Writing this book was the most difficult undertaking of my career so far. It was a long, taxing journey that would not have been possible without the vast support of my family, friends, and colleagues. A lot of thanks are in order.

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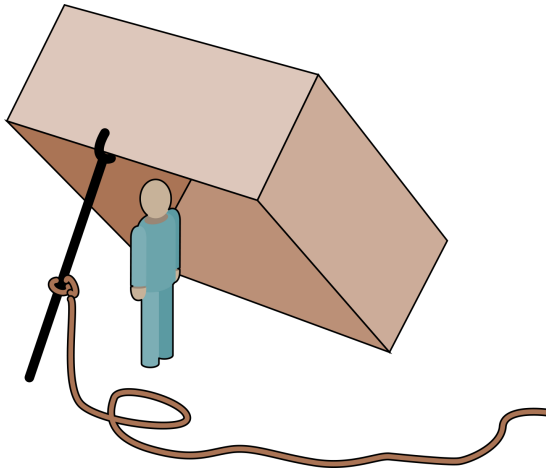
To those in the product management, UX design, Agile, Lean Startup, and Lean fields, from whom who I have learned so much in the past years, thank you for the in-depth conversations. Thank you for challenging my preconceived notions. Thank you for exposing me to other ways of working. Thank you for your support.

To my book club friends, who met with me every week for two years to swap ideas, provide feedback, and sometimes a much-needed venting space. To David Bland and Barry O'Reilly—I would never have finished this without you. Thank you for keeping me sane.

And, finally, I want to thank my family, because without them I would not be where I am today. They told a little girl it was possible to be like Bill Gates when she grew up. They encouraged her to wander around telling everyone that she would be a computer engineer one day. They still watch all her talks from conferences and cheer her on every step of the way.

Thank you to my parents, Joanne and Salvatore, and my sister, Jenny. You are my everything.

The Build Trap



The build trap is when organizations become stuck measuring their success by outputs rather than outcomes. It's when they focus more on shipping and developing features rather than on the actual value those things produce. When companies stop producing real value for the users, they begin to lose market share, allowing them to be disrupted. Companies can get out of the build trap by setting themselves up to develop intentional and robust product management practices. At that point, product managers can find the opportunities to maximize business and customer value.

“Chris, your problem isn’t just your product managers,” I said. “They’re definitely green, and you’re going to have to hire some more senior people, but you have process, strategy, and organizational issues, as well, that are preventing you from hitting your goals.”

The CEO of Marquetly, Chris, had called me to talk frankly about the state of Marquetly, an education company that provides online training for marketers. Experts in digital marketing, Marquetly professionals create classes through their online platform that any individual can take for a monthly subscription.

Six months earlier, Chris had hired me to train and coach the company’s product managers. Marquetly was growing rapidly, with revenue growth year-over-year holding steady around 30%. The company hired hundreds of people in a very short amount of time, assigning them to all sorts of projects. Many of those people were developers, and they soon learned they needed product managers to work with them, after adopting an Agile framework called Scrum.

They moved marketing people, individuals with no prior experience in product management, into that role to work with the developers because they knew the audience for the school best. Marquetly’s story was similar to those of other companies I had advised, and I knew that the issues were probably deeper than just skill based.

When I came into the company, I met with its VP of product, Karen. She had been hired three months earlier to oversee the dozens of new product managers.

“I am under a ridiculous amount of pressure,” Karen told me. “The sales team has promised all of these features to enterprise clients. We’ve never serviced people in that market before, and now we have to build everything from scratch. I have 20 direct reports and a bunch of deadlines to hit. I have no time to be strategic at all.”

The sales teams were frustrated, as well, and felt backed into a corner. “We need roadmaps, no one gives us anything to sell. This is how I make my money. I’m only out there promising things because the product teams aren’t giving me anything,” the head of sales told me.

The entire organization was at a standoff, with everyone pointing fingers at one another. All of them cited the lack of product management skills as the problem. “If only our product managers had deeper backlogs,” the CTO lamented. “We would be set. We need them to start thinking of more solutions.”

So I got to work with the product managers. I assessed their skills early on, watched them interact with their development and design teams, and gave them